

## CHAPTER

## 1

# INTRODUCTION TO SELLING AND SALES MANAGEMENT

If you sincerely believe that “the customer is king,” the second most important person in this kingdom must be the one who has a direct interaction on a daily basis with the king.

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## LEARNING OBJECTIVES

After studying this chapter, you should be able to:

- > Describe the major changes taking place in selling and the forces causing these changes.
- > Define sales management.
- > Describe the sales management process.
- > Discuss the competencies required to be a successful manager.

## SELLING AT DELL COMPUTER

Marty Sedlacek is an account executive at Dell Computer. Dell’s roots are in the mail-order business, which did not include outside salespeople like Marty. It relied instead on PR, advertising, and direct mail; targeted individuals and small companies; and was all about getting the phone to ring. Today, however, 90 percent of Dell’s sales are to corporate and government customers, most of whom have a complex continuing relationship with Dell that probably began with a visit from someone like Marty.

Marty is married, has a 9-month-old son, and lives in new four-bedroom house in Round Rock, Texas. Although he lives within 7 minutes of the office, Marty spends more time in airplanes than he does in his car. In a normal week, he leaves Austin on the 7:07 A.M. flight to O’Hare, rents a car at the airport, dives into a 4-day schedule of sales calls, and flies home Friday night. “I don’t want to be doing this job forever,” Marty says, but he is not

complaining. In fact, just the opposite. He's 32 years old. He has topped his quota 22 months straight. Last winter he and his wife unwound for a week in the Canadian Rockies, all expenses paid. This spring he's shooting for the trip to Costa Rica, and he likes his chances.

Marty's base salary is \$64,500. If he makes 100 percent of his quota, he doubles that. Beyond 100 percent, the incentives quadruple. He participates in his company's 401(k) plan in which the company matches 100 percent of his contributions in Dell stock. In addition, he spends 15 percent of his after-tax pay on discounted shares available through the employee stock-purchase plan.

A recent call on Ace Hardware's headquarters is typical for Marty. Ace is a new account for Dell. Marty broke the ice with Ace in February with an order for \$250,000 of Dell desktops. Marty is calling on Ace to gather competitive intelligence on who Dell is competing with for Ace's notebook and server business. He is also equipped with a testimonial from a client who praises Dell notebooks and a consultant's report that does the same for Dell servers. Mostly, however, Marty asks questions during the call. He takes careful notes in his planner with a multipoint pen: red ink for action items, black ink for intelligence tidbits. By the end of the meeting, Marty knows which companies Dell is competing against (Toshiba, IBM, and NEC on notebooks; HP on servers), who at Ace will decide the order, what matters most to them, and when they'll make up their minds.

One subject that never comes up is price. Marty doesn't talk terms. He doesn't take orders. He's what's known in Dell's internal lexicon as a hunter, one of 20 in the preferred-accounts division. A hunter's job is to establish a new account, get the order flow started, and then give way to an inside salesperson.<sup>1</sup>

These are very exciting times to be in sales and sales management. Many organizations are finding that sales force changes are needed for more demanding customers in an increasingly competitive world. Giant retailers such as Wal-Mart and Target are leveraging electronic data technology and are requiring manufacturers sales forces to assume responsibility for "just-in-time" inventory control, ordering, billing, sales, and promotion. Like other companies, Hewlett-Packard now rents an office in a key customer's headquarters building and stations an account manager there.

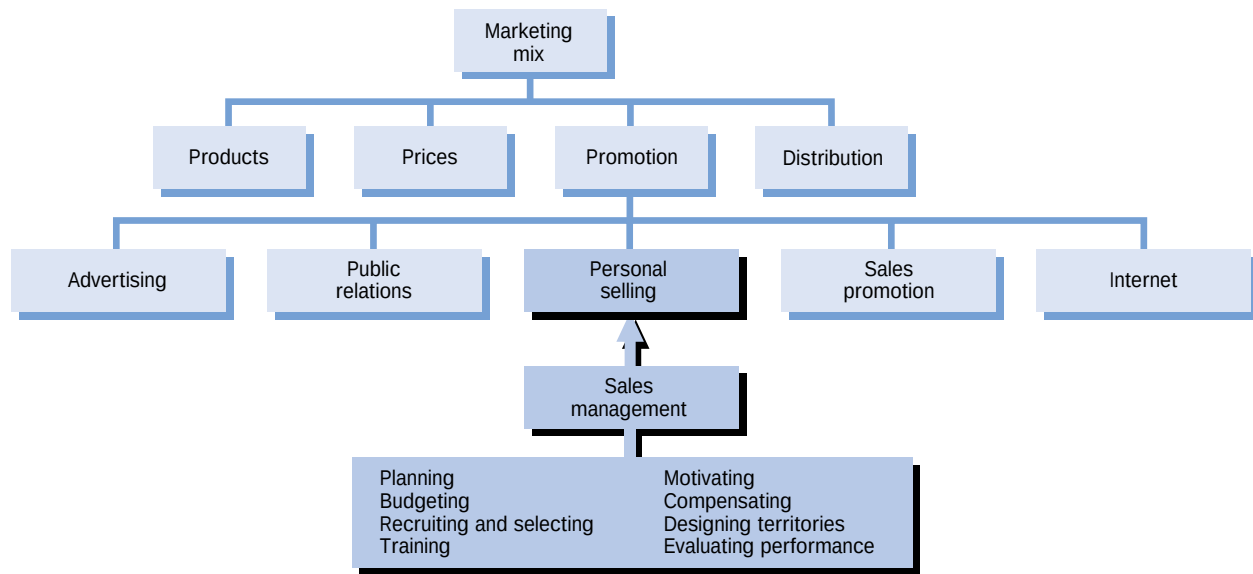
These innovations in the way suppliers and customers interact have necessitated changes in the way sales forces are organized, compensated, developed, and evaluated. Our goal in this textbook is to explain how the sales team operates in this new environment and how they may be supervised for maximum efficiency and effectiveness. We begin by defining personal selling and describing its role within a firm's promotion mix. We then turn to some of the changes taking place that have had an important impact on the sales function. Next, we direct our attention to the sales management function by describing the activities they perform, a process of sales management, and the competencies needed to successfully perform these activities and the sales management process. The final section of the chapter profiles career paths that you may find in your first sales job.

## PERSONAL SELLING

According to the U.S. Department of Labor's Bureau of Labor Statistics, people working in sales number close to 12 million, or about 10 percent of the total workforce in the United States. *Personal selling* is critical to the sale of many goods and services, especially major commercial and industrial products and consumer durables, and can be defined as:

Direct communications between paid representatives and prospects that lead to transactions, customer satisfaction, account development, and profitable relationships.

The relationships between selling and other elements of the marketing mix are highlighted in Figure 1-1.



**FIGURE 1-1** Positions of Personal Selling and Sales Management in the Marketing Mix

Marketing programs are designed around four elements of the marketing mix: products to be sold, pricing, promotion, and distribution channels. The promotion component includes advertising, public relations, personal selling, and sales promotion (point-of-purchase displays, coupons, and sweepstakes). Note that advertising and sales promotions are nonpersonal communications, whereas salespeople talk directly to customers. Thus, where advertising and sales promotion “pull” merchandise through the channel, personal selling provides the “push” needed to get orders signed. With public relations, the message is perceived as coming from the media rather than directly from the organization. Personal selling involves two-way communication with prospects and customers that allows the salesperson to address the special needs of the customer.

It is often the job of a salesperson to uncover the special needs of the customer. When customers have questions or concerns, the salesperson is there to provide appropriate explanations. Furthermore, personal selling can be directed to qualified prospects, whereas a great deal of advertising and sales promotions are wasted because many people in the audience have no use for the product. Perhaps the most important advantage of personal selling is that it is considerably more effective than advertising, public relations, and sales promotion in identifying opportunities to create value for the customer and gaining customer commitment.

The person responsible for management of the field sales operation is the *sales manager*. He or she may be a first-line manager, directly responsible for the day-to-day management of salespeople, or may be positioned at a higher level in the management hierarchy, responsible for directing the activities of other managers. In either case, sales management focuses on the administration of the personal selling function in the marketing mix. This role includes the planning, management, and control of sales programs, as well as the recruiting, training, compensating, motivating, and evaluating of field sales personnel. Sales management can thus be defined as:

The planning, organizing, leading, and controlling of personal contact programs designed to achieve the sales and profit objectives of the firm.

Regardless of whether the sales manager directs salespeople or other sales managers, all managers have two types of responsibilities

- Achieving or exceeding the goals established for performance in the current period
- Developing the people reporting to them

Each of these responsibilities includes a number of more specific functions and activities that will be discussed throughout this book. Now it is important that you understand the context in which sales managers execute these two responsibilities. In the next section we discuss some of the more consequential changes taking place in the marketplace and in selling operations.

## A CHANGING MARKETPLACE

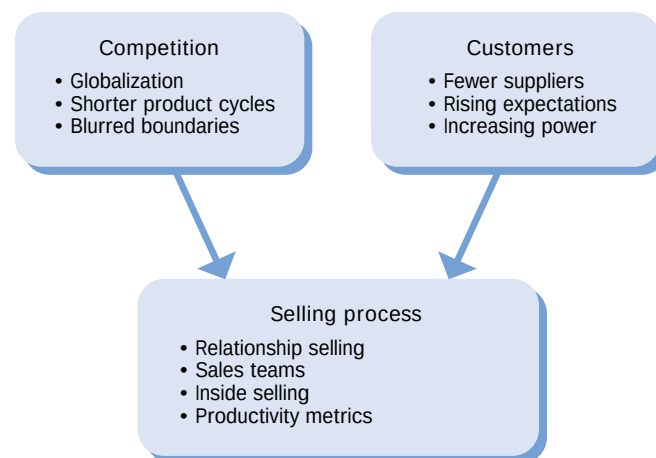
It is certainly a time of change. Powerful forces are at work that are irrevocably changing the way that salespeople and sales managers understand, prepare for, and accomplish their jobs. Few sales forces will be immune. Some of the more important competitive and customer-related forces of change are illustrated in Figure 1-2. In this section we briefly examine these forces and the consequent changes in selling processes.<sup>2</sup>

### Competition

The 1980s and early 1990s were generally a seller's market. Today, the number of competitors in most markets has literally exploded. In this section, we explore three key reasons for this development—globalization of markets, shorter product cycles, and a blurring of market boundaries.

**Globalization.** Companies that compete only in the United States or even in a region of the United States are feeling the effects of globalized competition. It is not unusual to compete with companies from other countries, to use suppliers located in other parts of the world, or to sell to customers that are selling in other countries. Any of these situations may result in intensified competition and require that the sales force adjust from a local to a global focus.

The most obvious need for a global perspective is for those companies competing in other countries. World trade accounts for more than 20 percent of U.S. gross national prod-



**FIGURE 1-2** Marketplace Changes and Selling Consequences

uct. This is because almost 95 percent of the world's population and 75 percent of its purchasing power are outside of the United States. The majority of sales by such well-known companies as Coca-Cola, Colgate-Palmolive, and Avon Products are made outside the United States. Chief Sales Officers (CSOs) know that their companies' growth is likely to depend on how well they manage customer relationships in global markets. This means more traveling, hiring the right people, defining new roles and duties, and developing a global perspective and world-class skills at addressing an increasingly eclectic sales force.

**Shorter Product Cycles.** The rate of technology transfer is increasing. Processes and products that were once proprietary are quickly becoming available to competitors. As a result of the porousness of technology and the increasing number of competitors, product cycles are shorter, imitation is more rapid, and as a consequence, the window of product differentiation has narrowed considerably. Sales and customer relationship skills are most important when a product is new and again when it is late in its life cycle. New products need careful presentation because a buyer's risk is highest owing to lack of experience with the product. The sales force's task is to help customers understand that the benefits of the new product outweigh the risks and costs associated with the requisite business changes. In the late stages of the life cycle, the salesperson again becomes very important. With very few important differences in competing products, the personal relationship and intimate customer knowledge of the sales force become the primary point of differentiation and leverage for a supplier.<sup>3</sup>

**Blurred Boundaries.** Contributing importantly to increased competition is the phenomenon of boundary blurring: Formerly indirect competitors are entering each other's businesses. Steel, aluminum, plastic, paper, and glass, for instance, compete for the same application. Banks, insurance companies, mutual funds, new Internet companies, and credit-card companies all compete for the same consumer savings and investment dollars. Developments in information and communication technology are often at the heart of boundary blurring. As a consequence, sellers are having to call on new decision influencers interested in a new value proposition. These developments have made it more difficult and complex to sell effectively against a broader set of competitors.

## Customers

The increase in competition clearly calls for new selling and sales management approaches. However, identifying the correct selling and sales management approach is further complicated by customer developments such as purchasing from fewer suppliers, rising expectations, and increasing power.

**Fewer Suppliers.** The traditional practice of buyers rotating purchases across multiple supplier sources is increasingly being questioned in many industries. Motorola's Personal Communications Sector group, for example, has reduced its supplier base from 300 to 100 suppliers.<sup>4</sup> Xerox Corporation, Ford, General Motors, and most other major corporations have followed suit in reducing their supplier base by one-half or more. These companies are finding that the costs of maintaining relationships with a large number of suppliers far exceed any possible price savings. Consider the results of a Department of Defense study which found that it costs hospitals \$1.50 in administrative costs associated with \$1.00 worth of medical supplies. These administrative costs include purchasing and sales call time, receiving, inventory, space, handling, paperwork, processing, leakage, and so forth. Addressing these internal costs associated with procurement and customer inventory holding costs requires a closer supplier-customer relationship than is usually possible when purchasing from a large number of suppliers.

At first glance, customers purchasing from fewer suppliers would appear to benefit suppliers. But what if a large customer asks you to address the total cost issues associated with a purchase, such as those listed above, and your company has not developed the capacity to do so? You are likely to lose this important customer. What if you are not chosen as one of the “In Suppliers”? Among wholesalers of periodicals and magazines, for instance, the shift by large retailers to single-sourcing has resulted in intense consolidation. Contract-winning wholesalers rapidly acquired former competitors in an effort to cover larger territories and service larger accounts. As a result, the number of wholesalers dropped from nearly 182 firms in 1990 to 56 in less than 5 years.<sup>5</sup> In other words, the revenue stream from individual customers had become so important that survival had become dependent on maintaining the supplier-customer relationship.

**Rising Expectations.** Despite a focus on quality and service, customer satisfaction remains low, according to research by J. D. Power and Associates. Customer satisfaction is difficult to manage because as customers receive good treatment, they become accustomed to it and demand even better treatment. In other words, the bar is being constantly raised. Customer expectations are raised not just by how well a business performs versus competitors, but also by the higher standards set in other industries. People are aware of the standard in the consistency of service at McDonald’s, the cleanliness at Disney, and the product quality at Sony. Customers are aware of the product and service quality they receive from these companies and are holding everyone else to a higher standard.

In business-to-business sales, rising customer demands are occurring in a variety of ways, including:

- Access to greater levels of information, both from electronic and human sources, on demand
- Ever-increasing speed of response to customer problems and issues
- A demonstrated understanding of the customer’s business and issues before being permitted to ask questions
- Personalization of offerings, services, and merchandising

**Increasing Power.** Fewer than 10 percent of all retail stores, for instance, account for more than half of U.S. retail sales. Wal-Mart, Target, Sears, Costco, and many other dominant retailers have grown bigger and more powerful than the manufacturers that supply them, and they are now dictating the supplier-customer relationship.

This shift to large powerful customers has had dramatic impact on suppliers. Procter & Gamble, for example, has well over 100 people located in Bentonville, Arkansas, to sell and service Wal-Mart. When the accounts are huge, consumer goods companies are finding that marketing and sales must make joint decisions about product, price, brand, and all kinds of support. Pricing, product and service customization, and merchandising programs cannot be entrusted to either marketing or sales alone. The economic impact of these large accounts requires an integrated approach.

## Selling Process

The changes discussed so far are rapidly dooming the traditional sales attitude of “I can sell anything to anyone.” The financial stakes are too high and the problems too complex for a single salesperson to handle. In this section we briefly discuss several important changes that are taking place in many companies’ selling efforts: relationship selling, sales teams, and productivity.<sup>6</sup>

**Relationship Selling.** The traditional selling model emphasizes selling products in the short term. The value added by the sales force is in communicating the benefits of the prod-



**FIGURE 1-3 Contrasting Transactional and Relationship Selling Models**

uct or service to the customer, helping customers make a purchase decision, and making the whole process convenient and easy for the buyer. In many situations, especially when the product or service is not of strategic significance to the buyers, this type of relationship is appropriate. However, many buyers and sellers are finding that this selling model does not work for all customers, particularly those that are most important. This has led to the development of an alternative selling model referred to as relationship selling. Relationship selling involves creating customer value by addressing important customer problems and opportunities through a supplier-customer relationship that is much more intimate than that of traditional transactional selling. Figure 1-3 contrasts some of the differences between the traditional transactional model of selling and the new relationship selling model.

Perhaps the best way to understand what is meant by relationship selling is to see an example of it. Until the late 1980s, Procter & Gamble's (P&G) sales focus was very transactional. Multiple P&G divisions serviced the same retail accounts. As a result, buyers and P&G salespeople operated at an arm's-length buying-selling environment. Sellers took orders and aggressively pursued shelf space, while buyers negotiated fiercely for lowest prices and sought the highest shelving allowances in the form of fees for premium shelf facings. In contrast, relationship selling involves a collaborative effort to create added value from this synergy. P&G has reorganized into Customer Business Development Teams composed of a variety of functional areas and organizational levels focusing on individual customer needs. For example, P&G is able to manage the stock inventory for the retailer or wholesaler in certain high-volume categories through its continuous inventory replenishment system. This system has increased customer product turnover by 20 to 30 percent, and the retailer often sells the inventory before paying for it.<sup>7</sup> Of course, for this program to be successful, customers must share critical inventory data with P&G and trust that P&G will operate in the customer's best interest. A typical career path at P&G is discussed later in this chapter.

As the preceding example illustrates, relationship selling requires a greater level of trust and commitment by both parties. Note also that the focus is not on the individual transaction. A long-term focus is necessary. Notice also that P&G had to reorganize its sales force in order to implement a relationship selling model. In fact, virtually every aspect of their sales program had to be adjusted to foster a relationship selling orientation. It is not surprising that some buyers and sellers are not prepared to make adjustments of this magnitude.

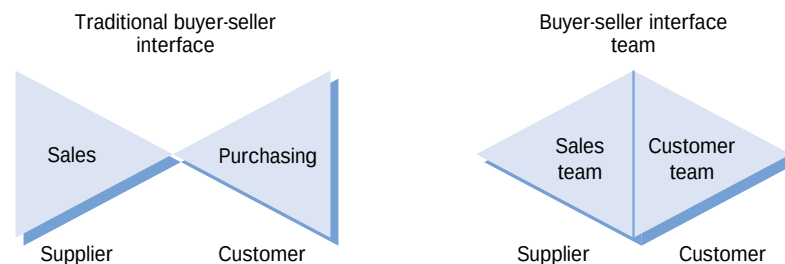
The key to successful sales management rests in the ability to strike a strategic balance between relational and transactional opportunities. We will discuss this issue further in Chapter 2 when investigating strategic sales management issues.

**Sales Teams.** As the P&G experience suggests, the importance of the “lone-wolf” salesperson winning and losing on the strength of his or her own efforts and skills is likely to diminish in the future. In the case of relationship selling, no one person possesses the necessary knowledge and resources to address the bigger opportunities to create value that go beyond selling the product. Figure 1-4 illustrates the change made by P&G. Under the traditional buyer-seller interface model, all of P&G’s capabilities and communications with the retailer were funneled through one salesperson whose customer contact was a purchasing agent. With *sales teams*, the model is reversed, with multiple contacts being established between P&G and retailers. This model allows for a broader transfer of capabilities and communications. Notice also that both the seller and buyer must change, so the degree and extent of interaction expand dramatically. Obviously, not all buyers and sellers are prepared to make these adjustments.

The switch to sales teams incorporating a relational sales orientation produces a number of critical consequences in a firm’s sales program and management processes. Certainly, teams will require changes in the organization, selection, training, compensation, supervision, and evaluation of the sales force. Even with strong top management commitment and support, it took P&G 5 years to transition relationship selling and sales teams, and there is still a commitment to constantly revisit progress and make further adoptions. In recognition of its importance, we will discuss team building later in this chapter as an important competency for sales managers.

**Inside Selling.** As a consequence of the changes noted so far—relationship selling and sales teams—salespeople are spending more of their time marshaling resources and coordinating efforts within their own organizations to address customer problems.<sup>8</sup> Consider the following examples:

- A European consumer durable goods manufacturer’s global account manager had negotiated the whole package with one of the company’s global retail customers—product specifications, prices, and local installation and service agreements. The manufacturer’s sales organization was still managed on a country-by-country basis. Local salespeople prioritized the higher-margin business they got through local customers. Some disregarded the frame agreement altogether, and some local sales managers were not even informed about the global account agreement. The result was that global account managers found themselves “policing” the deal all over the globe.
- The 3M account manager of the IBM Storage relationship discovered that one of IBM’s major business problems was a manufacturing process that created a disproportionate share of IBM’s costs. The Giant Magnetic Resistance (GMR) heads that IBM makes for



**FIGURE 1-4** Traditional Buyer-Seller Interface versus a Team Interface



computer hard drives are extremely sensitive to the electrostatic discharge (ESD) that is created during manufacturing. Thinking that proprietary 3M technology could help address the ESD problem, Jan brought in a core group of four people from 3M's Technology Group to study and solve the problem. That group spent over 2 years creating wholly new static-dissipative materials to optimize their performance in the manufacturing of GMR heads. Through these efforts, 3M reduced IBM Storage's GMR product loss by approximately 10 percent, which translated to IBM's annually saving several million dollars. The account manager coordinated the various 3M resources required at the San Jose IBM design facility. IBM eventually asked 3M to supply them with the manufacturing system components multinationally. Fortunately, the 3M sales group had recently been reorganized to address just this type of global customer. As a result, sales to IBM Storage increased 300 percent over 2 years, generating more than \$10 million in incremental revenue.

Companies are beginning to realize that in many cases sales success depends as much on successful inside selling as it does on external customer-focused selling. Salespeople will need to work with a number of functions across an organization if they are to develop successful long-term relationships with clients like the one between 3M and IBM. Inside selling is especially important for strategic and global account selling.<sup>9</sup>

**Productivity Metrics.** Historically, sales performance metrics were simple—increase revenue over the previous year. Sales managers typically rewarded and compensated salespeople by evaluating sales volume over a certain period of time. Although sales volume is still important, companies are discovering that not all sales are equally profitable. Profitability often depends on the following:

- The amount of time necessary to complete the sale
- The gross margins associated with the sale
- The level of price discounting
- The amount of promotional support
- The amount of post-sale support
- The impact of future product sales

The sales force has an important influence on all these issues through their account selection, account penetration, account retention, pricing, and servicing decisions. In effect, salespeople are resource allocators. First, they decide on which customers and prospects they will spend time selling and how much time they will allocate to each customer. These decisions and the metrics for making them are discussed in Chapter 4. Second, the sales force also has an important role in the allocation of marketing resources to individual customers.

For example, sales forces for large food manufacturers selling through grocery stores are responsible for trade promotion spending decisions, such as coupon promotions, newspaper advertising, display racks, and price promotions. Studies find that trade promotion spending consumes approximately 50 percent of the marketing budgets of these companies and represents about 12 percent of sales.<sup>10</sup> Spending this money effectively is critical to these firms' profitability. As a result, salespeople are being evaluated on a wider array of performance metrics, which places greater emphasis on gathering more and better performance data. We discuss these performance metrics further in Chapter 13.

As indicated at the beginning of this chapter, it is an exciting time to be in sales and sales management. The breadth of skills and knowledge required to excel in sales has increased dramatically. As a consequence, sales is becoming an important proving ground for top marketing and operating officers in many companies. In the next section we try to provide a picture of what sales management is all about by first describing the functions

they perform, followed by a discussion of the activities in which they are involved, and finally the competencies a successful manager needs to develop.

## THE SALES MANAGEMENT PROCESS

As stated earlier, the two primary responsibilities of sales managers are to achieve their firm's goals for the current planning period and to develop the people reporting to them. One field sales manager described the job as follows:

People development is my main mission in life: 50 percent people development, 30 percent sales and product leadership, 10 percent administration, and 10 percent compliance—you go to jail if you are not the policeman on the block.<sup>11</sup>

To better understand how sales managers execute these responsibilities, in this section we describe a fundamental process for sales management, the activities in which sales managers are engaged, and the competencies needed to be a successful sales manager.

When managers fail to follow a defined sales management process, chaos reigns and field reps merely react to customer requests rather than help them solve problems. When Filemon Lopez looked at the selling process at Comcast Cable, he found there were no systems to help a salesperson convert leads into a sale.<sup>12</sup> There were no territories, salespeople sold advertising space on price rather than value, and lead generation was haphazard. Lopez instituted training classes showing reps how to prospect, analyze needs, solve problems, and make value-driven sales. He also established sales territories so that reps were not competing with one another, and he hired telemarketers to get leads for field reps. Now that Comcast Cable has a defined sales process, reps know what steps to follow and sales revenue is up 20 percent.

The sequence of activities that guides managers in the creation and administration of sales programs for a firm is known as the sales management process. This text is organized around the steps in this sales management process. Each step is briefly described here.

**Focusing on the Big Picture.** An effective sales force is a powerful asset for any company. Physicians have consistently ranked Pfizer's sales force as one of the best in the pharmaceutical industry. As a result, when Parke-Davis launched its blockbuster cholesterol-lowering drug, Lipitor, it entered into an alliance in which Pfizer's sales force pitched the drug to physicians throughout the United States.

A company's management process is fundamentally affected by the firm's overall business strategy and its strategy for accessing its target markets. The relationship between business strategy, a firm's marketing strategy, and a firm's strategic sales force program is discussed in Chapter 2. Two management resource presentations follow Chapter 2: sales force investment and sales forecasting. Sales force investment is primarily a function of properly sizing the sales organization to assure that customers and prospects receive appropriate coverage, company products get proper representation, and the sales force is stretched but not overworked. The appropriate investment in the sales force will also depend on the size of the opportunity a firm faces and its expected sales level. Put together, Chapter 2 and sales forecasting and sales force investment constitute the "Big Picture" focus of top sales force executives.

**Roles of the Sales Force.** To be successful and produce profitable results, a firm's business strategy and market access strategy must be implemented by the sales force. In other words, strategic plans are implemented through the activities and behaviors of the sales force. Key sales force behaviors include calling on certain types of customers and prospects, managing customer relationships, and creating value for individual customers. The role of the sales force

in implementing a firm's market access strategy is the focus of the second section of this text. This section is organized hierarchically to first look at managing multiple sales opportunities (Chapter 3), account relationships (Chapter 4), and customer interactions (Chapter 5). Together, these chapters examine the activities and behaviors of successful sales forces.

**Structuring the Sales Force.** To meet customer needs efficiently and effectively and to sell the firm's products and services, a sales force must be well organized. Sales force structure decisions influence how customers see the firm because sales force structure will affect the selling skills and knowledge level required of salespeople. In turn, sales management activities such as compensation, recruitment, training, and evaluation are affected. Alternative sales force structures are presented, and their implications are discussed in Chapter 6. Following this chapter is a management resource describing a process for aligning sales territories, that is, assigning customers to salespeople.

**Building Sales Competencies.** Sales managers are responsible for hiring salespeople with the appropriate skills and backgrounds to implement the sales strategy. Good sources must be found for new hires, and those who are weak in these areas must be carefully screened out. These and other recruiting issues are covered in Chapter 7.

In addition to hiring qualified people, salespeople's competencies are usually developed through training before they are sent into the field. Sales managers are responsible for making sure that training is completed, and they often conduct some of the classes. Most initial training programs are designed to familiarize salespeople with the company's products, services, and operating procedures, with some time devoted to development of selling skills. Because sales training is expensive, the sales manager is responsible for selecting the most cost-effective methods, location, and materials. A detailed discussion of training is given in Chapter 8.

**Leading the Sales Force.** Effective sales managers know how to supervise and lead their salespeople. Sales managers provide leadership by inspiring people to grow and develop professionally, while achieving the revenue goals of the firm (Chapter 9). Good leaders provide models of behavior for employees to emulate, often developing strong mutual trust and rapport with subordinates. Leadership styles vary, but effective leaders are adept at initiating structure—that is, organizing and motivating employees, setting goals, enforcing rules, and defining expectations.

In addition to leading the sales force in business results, sales managers are also expected to lead by example in encouraging ethical behavior within the sales force. Salespeople are continually confronted with ethical dilemmas; Chapter 10 provides some background on these problems so that informed decisions can be made.

Sales managers use a variety of tools in their efforts to motivate salespeople to work more efficiently and effectively. Chapter 11 describes a proven process for achieving goal-directed effort. The chapter also discusses other techniques that have proved to be effective motivators, including sales meetings, quotas, sales contests, and recognition awards.

The most powerful motivator for salespeople is often a well-designed compensation package. Money is an important consideration for attracting and motivating people to work hard (Chapter 12). A key task for sales managers is to devise an effective mix of salary, bonuses, commissions, expenses, and benefits without putting the firm's profitability in jeopardy.

The final step in the sales management process is to evaluate the performance of the sales force and develop the skills of their people. This involves analyzing sales data by account, territory, and product line breakdowns (Chapter 13). It also means reviewing selling costs and measuring the impact of sales force activities on profits.

Based on the prior discussion of the sales manager process which person would you promote in the Team Exercise "Who to Promote?"

### TEAM EXERCISE “Who to Promote?”

Your company has experienced fantastic growth during the past year, with sales jumping an average of 60 percent per month because of the added exposure a new product, StarDuster, has given to all of the company’s other products. Introducing the new product has also had salespeople working double-time.

Assume you are the vice president of sales. Lately, you have been spending most of your time interviewing and hiring new salespeople. After adding 10 new salespeople, you realize that you need to promote one of your senior reps to be an area sales manager. You want to choose the person who will keep sales growth high and the reps motivated, but also someone who can maintain records and budgets as if the area were his or her own business. You have narrowed your choices down to the following two people. Which would you choose to promote to manager and why? Remember to consider the duties of a sales manager and the skills that sales managers need to perform effectively. You also do not want to lose one rep by promoting the other, so how would you handle the discussion with the person you do not promote?

LISA BELL

Lisa is very persistent, won’t take “no” for an answer, and is one of your best closers. She has been a President’s Club member (top 10 percent in sales each year) every year since she was hired 5 years ago. Her dynamic personality is an inspiration to other reps, and she has had great success with the two rookie reps she has mentored. Her “take-charge” personality has been of benefit to you and you have often asked her to help you plan sales meetings.

STEVEN BELLACH

Steven is a 6-year veteran with the company and a solid producer who is looked up to by many of the younger reps. He is great at building customer relationships and always has supportive words and suggestions for his peers on how to improve their sales techniques. He is surprisingly detail oriented for a salesperson; his sales reports are always filled in perfectly and turned in on time.

## THE SALES MANAGEMENT COMPETENCIES

We’ve talked about the sales management process, but you may be wondering what it takes to be an outstanding sales manager. So, let’s look more closely at the competencies that managers need in order to succeed.

*Sales management competencies* are defined as sets of knowledge, skills, behaviors, and attitudes that a person needs to be effective in a wide range of industries and various types of organizations.<sup>13</sup> People use many types of competencies in their everyday lives. Here we focus on six competencies (Figure 1-5) that you will need for today’s sales management responsibilities. Keeping these six sales management competencies in mind will help you remember how the material you are studying can improve your performance on the job. To help you in this process, we have included inserts into each chapter describing these competencies in the context of the chapter’s subject matter. Often these inserts are examples from actual companies. In addition, exercises are included at the end of each chapter focusing on each of the six competencies. Let’s examine the dimensions of each of these competencies more closely.

**Strategic Action Competency.** Understanding the overall strategy and goals of the company and ensuring that your actions and those of the people you manage are consistent with these goals involves strategic action competency. Strategic action competency includes:



**FIGURE 1-5 A Model of Sales Management Competencies**

- Understanding the industry
- Understanding the organization
- Taking strategic actions

Today's sales managers are being challenged to think strategically in order to improve their job performance. One dimension of strategic thinking is to anticipate strategic trends in the industry and to make the appropriate adjustments to take advantage of these changes. Failure to do so may be very costly.

The plight of Encyclopedia Britannica Corporation is a good example of the possible penalty for ignoring important industry trends. First published 225 years ago in Edinburgh, Scotland, sales of *Encyclopaedia Britannica* peaked in 1990 at \$650 million, with profits of \$40 million. As CD-ROM technology gained acceptance, however, Britannica's management failed to respond and continued to market through a direct sales force of 2,300 people. Part of the reason Britannica found it hard to change is that a typical sale pays the salesperson a commission of \$300. With CD-ROM encyclopedia packages priced from \$99 to \$395, commissions would have dropped significantly. It also would have required marketing through competing channels of distribution such as retail outlets, direct mail, and telemarketing, a change the powerful direct sales force would have resisted. Sales have declined drastically, the company is in financial trouble, and the sales force is now less than half its former size.<sup>14</sup>

This competency also involves understanding the organization—not just the sales unit in which the manager works. Goals and standards will cascade from above. Unless you are well connected and can influence them, your point of view goes unheard at the top. The first five chapters of this text are organized to reflect the hierarchical nature of goals, strategies, and tactics. After examining the competitive environment (Chapter 1), a strategy or plan for achieving specific goals must be developed (Chapter 2), which will have implications for how resources are allocated across various market opportunities (Chapter 3), what types of customer relationships are developed (Chapter 4), and how the account interaction is executed (Chapter 5).

For more details about strategic action competency, refer to the Strategic Action Competency box, "Dimensions."

**Coaching Competency.** Comparisons are often made between the competitive worlds of sports and business sales. Athletes compete against opposing players to win the game, whereas salespeople compete with other companies' salespeople to win accounts. Like the athletic coach, the sales manager plays an important role in this competition by helping to develop the skills of the sales team.<sup>15</sup> The president of a large distribution company developed the habit of calling a district sales manager into his office and bringing up an account

## STRATEGIC ACTION COMPETENCY “Dimensions”

### Understanding the Industry

- Understands the history and general trends in the industry and their implications for the future
- Stays informed of and anticipates the actions of competitors and strategic partners
- Identifies attractive market segments and their buying needs

### Understanding the Organization

- Understands the vision, overall strategy, and goals of the organization
- Appreciates the distinctive competencies of the organization with respect to market opportunities and limitations
- Understands how to marshal organizational resources to meet the needs of the customers

### Taking Strategic Actions

- Assigns priorities and makes decisions that are consistent with the firm’s mission and strategic goals
- Implements specific account selection, retention, and dominance strategies
- Develops an appropriate portfolio of account relationships
- Considers the long-term implications of actions in order to sustain and further develop the organization
- Establishes tactical and operational goals that facilitate the firm’s strategy implementation

on his computer. He then asked the manager to comment on what he or she had done to support the salesperson’s relationship-building efforts in that account. He didn’t tell the district managers how to help salespeople build better account relationships. He wanted to reinforce the importance of this management responsibility. At first, managers were unprepared, but as soon as the message was understood, helping salespeople build better customer relationships became a priority among the district managers. Soon other senior officers began copying the president’s actions.

Coaching is defined as a sequence of conversations and activities that provide ongoing feedback and encouragement to a salesperson or sales team member with the goal of improving that person’s performance. Performance improvement is achieved by

- Providing verbal feedback
- Role modeling
- Building trust

Coaching helps salespeople develop through one-on-one feedback and encouragement. The best coaches don’t tell salespeople what to do; rather, they collaborate with them to achieve mutually agreed-upon goals. In this role, a sales manager works with each person to create and implement a developmental plan to improve performance. This process often includes providing ongoing training and coaching in selling skills, sales strategy, and product and market knowledge.

Sales coaching, however, involves more than just providing verbal feedback on what a salesperson has done. Successful sales coaches also provide a role model of positive example through their own behavior or that of others. According to one successful sales manager:

I believe in the power of personal example. You can rant and rave and threaten, but the most effective way to get results is to show someone what you want done.<sup>16</sup>

Many sales managers believe that being a good role model is the most effective way to gain the respect of their salespeople.

Still, a salesperson must be open to coaching, taking feedback constructively, and following the sales manager's example. This requires a level of trust between a salesperson and a sales manager.<sup>17</sup> A climate of trust is created when a manager is honest and reliable, and shows a genuine concern about the needs of the salespeople. This is achieved by listening and maintaining an open, two-way channel of communications. As the saying goes: "They won't care what you know, until they know you care." For more details on dimensions of coaching competency, refer to the Coaching Competency box, "Dimensions."

**Team-Building Competency.** Accomplishing tasks through small groups of people who are collectively responsible and whose work is interdependent requires a team-building competency. Sales managers in companies that utilize sales teams can become more effective by

- Designing teams properly
- Creating a supportive environment
- Managing team dynamics appropriately

In a recent study of 243 employees, the Hay Group found that two of every three companies plan to increase their level of employee participation in teams. The primary reasons for the change are to improve customer service and productivity.<sup>18</sup> Increasingly, companies are realizing that they are not selling a product; to remain competitive, they must provide system-oriented solutions to a customer's business problems. Allegiance Healthcare recognizes that

## COACHING COMPETENCY "Dimensions"

### Providing Verbal Feedback

- Provides specific and continuous performance and selling skills feedback
- Builds a feeling of appreciation and recognition by taking the time to acknowledge a job well done, an effort beyond the call of duty, or an important victory
- Reinforces success and positive attempts to support desirable behaviors

### Role Modeling

- Leads by example rather than decree
- Provides role models, either themselves or others, and shares best practices
- Models professional attitudes and behaviors

### Trust Building

- Maintains good rapport with the sales team and fosters open communications, collaboration, creativity, initiative, and appropriate risk taking
- Adds value through communicating relevant selling experiences
- Helps salespeople to "look good" through two-way communications



the foremost mission of its hospital customers is the care of patients. Allegiance enables its customers to focus more closely on their mission by providing the support of a wide range of functional experts. Financial experts monitor regional economics, whereas information service specialists help customers with their information systems needs. Marketing liaisons analyze product-specific data such as usage trends and pricing options. With an in-depth understanding of its customer's internal operations, the Logistical Support Group can offer improvements that will streamline customers' logistical processes.

A well-designed team is capable of high performance, but it needs a supportive environment to achieve its full potential. In a supportive environment, team members are empowered to take actions based on their best judgment. This means that it is very important to hire people who can get along with others and who work well within a team environment. These salespersons are quite different from the traditional salespersons who survived by relying on their own abilities. In fact, some companies conduct interviews with team members as a crucial part of their hiring process. A recent study concluded that approximately 25 percent of the performance of sales teams was a function of the diversity within the sales team, with more diverse sales teams expressing greater job satisfaction.<sup>19</sup> Successful team development undoubtedly will require team training, which is necessary to allow team members to assume each other's roles and to work interdependently.

Conflicts and disagreements among team members are natural, which means that managing team dynamics is necessary for effective team building. Essentially, this means maintaining cooperative relationships while pursuing a common goal. If managed well, conflict can be productive; if managed poorly, however, it can destroy the team. For more details about the team-building competency, refer to the Team-Building Competency box, "Dimensions."

**Self-Management Competency.** Taking responsibility for your actions at work and elsewhere involves self-management competency. When problems arise, people often blame

## TEAM-BUILDING COMPETENCY "Dimensions"

### Designing Teams

- Implements an organizational architecture that will support teams
- Creates a reward system that is fair within the context of a team effort
- Coordinates team goals with the overall goals of the organization
- Coordinates team activities with the requirements of functional areas within the organization

### Creating a Supportive Environment

- Hires people who will be successful in a team environment
- Trains with programs that encourage teamwork
- Integrates the individual members of the sales team together to form a functioning and supportive team

### Managing Team Dynamics

- Understands the strengths and weaknesses of team members and uses their strengths to accomplish tasks as a team
- Facilitates cooperative behavior and keeps the team moving toward its goals



their difficulties on the situation or on others. Effective managers don't fall into this trap. Self-management competency includes

- Integrity and ethical conduct
- Managing personal drive
- Self-awareness and development

Sales managers are in a particularly sensitive position with respect to integrity and ethical conduct. To achieve success, the sales force must trust and respect a sales manager. How is it possible to respect people you feel have no integrity and do not conduct themselves ethically? As a person who influences or controls the rewards salespeople receive, a manager's ethics and integrity are constantly under review. As the leader of the sales team, salespeople take their cues from the sales manager with respect to the ethical treatment of customers. If salespeople are aware of instances in which a sales manager has bent the rules to make a sale to one customer, they are more likely to model this behavior. At the same time, there is increasing emphasis on ethical professional behavior, and important penalties are associated with unethical behavior. Consider the following examples:

- In 1994 Prudential Securities Inc., formerly Prudential-Bache Securities, reached an agreement with federal and state securities regulators on settling a securities fraud case that hinged on misleading sales documents distributed to brokers and passed on to customers. The settlement would ultimately cost Prudential in excess of \$1.4 billion.
- Columbia/HCA Healthcare Corporation, the largest for-profit hospital company in the United States, has been accused of improperly inflating costs in reports to the government and pocketing more Medicare reimbursement than warranted. Industry sources predict that Columbia will pay a \$1 billion fine.
- Enron Corporation, the energy and commodities trading company which in 2001 became one of the largest bankruptcies in U.S. history and the focus of a major scandal due to accounting fraud. The U.S. Department of Justice opened a criminal investigation that targeted top Enron executives and the accounting firm of Arthur Anderson & Company, while committees in the U.S. Senate and House of Representatives began separate probes into the company's conduct. The scandal led to proposed reforms in accounting practices and in regulations governing 401(k) retirement plans.

Perhaps because of the size of these judgments, developing corporate cultures that encourage ethical behavior is becoming a prominent concern of management. Companies are developing and enforcing codes of ethics, instituting formal ethics training programs, hiring ethical consultants, and maintaining standing ethics committees. Ethical conduct by managers is critical to developing an ethical corporate culture.

Sales managers are involved in a constant balancing act. On a typical day, they will work on many problems simultaneously from the insignificant to the important. In the words of one new sales manager:

You have eight or nine people looking for your time ... coming into and out of your office all day long. Who is going to come in with the real hot one today and how do I escalate myself to listen to that one today because I can't listen to all eight or nine?

A sales manager's job is more than just balancing the many issues that arise each day. The most important part of his or her job is achieving a balance between personal goals and those of the organization and of the people they manage. After being promoted to sales management a year earlier, one manager responded as follows to the question of what satisfied him:

What satisfies me about the job? Well, you do get feedback. Every month you can see how much your team has generated and you can see which people have developed and maybe even been

promoted. You know you are doing something that is important to the company, something that needs to be done—both making money and helping people grow and move—both aspects bring their own satisfactions.

Perhaps the biggest adjustment that new sales managers must make is understanding the difference between selling customers and leading salespeople. At first glance, there appears to be quite a bit of overlap in what one does as a salesperson and as a manager. For instance, both the salesperson and the manager must be good listeners and know how to take decisive action. To understand the difference between the two situations, consider the comments of one sales manager:

With clients you have to decide quickly, in one or two meetings of twenty minutes or so, what you think of them. You make quick, almost snap, judgments. You're constantly reading people. You can't judge so quickly when trying to read your own people. You need to really get to know what they're like, because you'll have to trust them. It can't be superficial.<sup>20</sup>

Self-awareness is a critical element of being a good sales manager. This begins with the reason for wanting to be a sales manager in the first place. People are attracted to management for a variety of reasons, including being tired of their present job, the opportunity to assume more authority and make more money, and the opportunity to exercise power and influence. New managers quickly discover that these reasons don't help them much in the day-to-day life of a sales manager, which often leads to self-doubts and a focus on the question of "Will I be good at it?" Following are comments from three new sales managers regarding what they discovered about themselves through their salespeople:

- I saw my style as very aggressive, demanding, interested, and involved. They saw me as a dictator, a tyrant on their backs.
- I was just being myself. But after three weeks on the job, it was coming back to me that people thought I was harsh, harsh. I needed to soften.
- What an eye-opener. People were trying to tell me I was too indecisive. I made them nervous because I seemed timid. No one had ever called me timid before.<sup>21</sup>

To help you in your own self-awareness, a number of self-assessment exercises have been included in the following chapters. The best way to develop self-awareness, however, is to do something: take some action. A number of experiential exercises are suggested at the end of the chapters along with in-class exercises in which the feedback from other students and your instructor will be helpful in developing self-awareness. The Self-Management Competency box, "Dimensions," provides more details about this competency. The Developing Your Competencies section at the end of this chapter poses challenging problems and self-assessment exercises. Real-world, practical challenges are also posed in each chapter's Team Exercises, which are designed for small teams to tackle. How would you handle the issues posed in "How to Handle Rumors"?

**Global Perspective Competency.** Drawing on human, financial, information, and material resources from multiple countries and serving customers who span multiple cultures requires a global perspective competency. Not all companies compete in global markets or service customers who sell throughout the world, but during the course of your career, it's likely that you will work for an organization that has a global sales component. To be prepared for such an opportunity, you should begin to develop your global perspective competency, which in sales is reflected in

- Cultural knowledge and sensitivity
- Global selling program

By the time you become a sales manager in your home country, your own culture has become second nature to you. However, unless you have traveled extensively, or studied other cultures as part of your education, you probably have much less general knowledge

## SELF-MANAGEMENT COMPETENCY

### “Dimensions”

#### **Fostering Integrity and Ethical Conduct**

- Has clear personal standards that serve as a foundation for a sense of integrity and ethical conduct by the sales team
- Projects self-assurance and doesn't just tell people what they want to hear
- Is willing to admit mistakes and accepts responsibility for own actions

#### **Managing and Balancing Personal Drive**

- Seeks responsibility, works hard, and is willing to take risks
- Shows perseverance in the face of obstacles and bounces back from failure
- Is ambitious and motivated to achieve objectives, but doesn't put personal ambition ahead of the organization's goals
- Understands that goals are achieved through the success and development of the salespeople

#### **Developing Self-Awareness and Management Skills**

- Has clear personal and career goals and knows own values, feelings, and areas of strengths and weaknesses
- Analyzes and learns from work and life experiences
- Is willing to continually unlearn and relearn as changed situations call for new skills and perspectives

## TEAM EXERCISE

### “How to Handle Rumors”

One of your salespeople tells you about an interesting conversation he had this morning with a long-time customer about a competitor's salesperson who used to work for you, but was discharged for underperforming. The sales rep had criticized your company and you, as a sales manager. He told the customer that the quality of your company's products had diminished significantly in recent years and that consequently your salespeople were having a hard time selling to prospects and are relying on past reputations to sell to current customers. He also added that your make-quota-or-leave mentality is forcing reps to push products that customers don't really need, such as updates of new parts before old parts are worn out. Your salesperson indicated that this particular long-time customer was unmoved by the competitor's accusations and, in fact, thought that his approach was in bad taste. She also was insulted by the suggestion that she's one of the customers being duped by your company, which implies that she isn't doing her job properly.

After thanking your salesperson for telling you about this, you head back to your office to consider what to do with this information. Will other customers react as this one has? What about prospects—how will they react? Have other customers heard this story and not told your salespeople? What, if anything, should you do now? In addition, should you say anything at your next Monday morning sales meeting with your sales team? If so, what will you say?

and understanding of other countries, even those that share a border with your own country. Yet because business is becoming global, many managers are now expected to develop a knowledge and understanding of at least a few other cultures, such as where the company is marketing its products or where customers are selling their products. For example, Wyeth-Ayerst International sells pharmaceuticals in 100 countries and employs 50 international sales trainers. The skills component of their training programs emphasizes that listening, asking the right questions, and probing for needs are the same throughout the world. Nevertheless, the company adapts training to local conditions in response to cultural differences. Salespeople are taught when to drink tea, when to schedule appointments, and when to close.<sup>22</sup>

Selling globally or to global accounts affects almost everything a sales manager does. Selection, for instance, becomes more difficult. One study reported that sales executives rated up to 50 percent of expatriates as ineffective or marginally effective.<sup>23</sup> Coordination also becomes problematic as issues arising between sales efforts at global headquarters and in individual regions and locations are exacerbated. In recognition of this complication, global issues are discussed in each of the following chapters. The Global Perspective Competency box, “Dimensions,” provides more information on the dimensions of this competency.

**Technology Competency.** Understanding the potential for technology to improve sales force efficiency and effectiveness and knowing how to implement the integration of technology into the sales force is referred to as possessing technology competency. Consider the following examples in which technology has significantly increased sales force productivity:

The TaylorMade Company, a marketer of golf equipment, increased sales force productivity by 25 percent through the use of a handheld wireless activity inventory system to take the inventory of retail stores automatically, allowing salespeople more time to focus on helping retailers increase sales.

The Vanguard Group offers a Web interface that is accessible to both customers and the sales force. Customers use it to open new accounts, purchase and redeem fund shares, and gain access to account performance. The sales force is freed up to devote time to

## GLOBAL PERSPECTIVE COMPETENCY “Dimensions”

### **Cultural Knowledge and Sensitivity**

- Stays informed of political, social, and economic trends and events around the world
- Recognizes the impact of global events on the market and the organization
- Has sensitivity to cultural cues and ability to adapt quickly in novel situations
- Travels regularly and has a basic business vocabulary in languages relevant to the position

### **Global Selling Program**

- Understands the selling situations in which a global selling effort is needed
- Adopts an appropriate sales force architecture for global accounts
- Appropriately adjusts sales force measurement, competency creation, and motivation systems to the local culture
- Appropriately adjusts own behavior when interacting and managing people from various national, ethnic, and cultural backgrounds

higher value interactions. Vanguard's Web customers invest 150 percent more than non-Web customers, and the cost to serve them is just 5 percent of what is spent with a human interface.

Technology competency includes:

- Understanding the productivity potential of new technology
- Implementing sales force automation (SFA)
- Implementing customer relationship management (CRM)

Many experts consider the integration of communications technology, more commonly known as *sales force automation (SFA)*, as not only a source of competitive advantage but increasingly as a necessity to stay competitive. According to a recent survey of top sales executives, 83 percent of respondents' companies plan to upgrade existing sales and marketing service and customer relationship management systems. The average budget companies have slated for these initiatives is \$1.5 million.<sup>24</sup>

Sales and marketing adoption of technology tends to evolve over the years. In the first stage, sales force automation systems often focus on efficiency and consist of call reporting systems focused on tracking activities that are designed to automate repetitive and error-prone sales tasks such as order processing. In the next stage, a company may adopt an electronic territory management system to increase sales force effectiveness by assisting with targeting and customer profiling. In the third stage, a company may adopt a customer relationship management perspective to technology in recognition that a firm's relationship with a customer is a many-to-many relationship. Sales, service, marketing, finance, product development, as well as a company's partners, all need to collaborate and share information in order to meet customer needs. A major focus of CRM systems is to ensure a consistent experience for a customer across multiple sales channels. If a customer gets product information over the Internet, makes an inquiry over the phone, sees a technical specialist for product design assistance, and sees a salesperson for pricing information, CRM systems seek to ensure that all the parties have the same information for seamless collaboration. This helps companies be more effective in communicating with a customer and more efficient in transacting business.

When implemented correctly, SFA and CRM can streamline a company's entire selling process. Although most companies can't afford not to automate, and estimated 61 percent of automation projects fail to deliver the expected benefits.<sup>25</sup> According to experts, company efforts to automate are jeopardized by one of three reasons, each of which causes sales force resistance. One reason for resistance is that the sales force does not understand how SFA and CRM will help them in their efforts to sell. Research indicates that appropriate technology training and improved salesperson effectiveness will cause resistance to technology and job insecurity to abate.<sup>26</sup> In other words, management has not clearly identified and communicated what they want to accomplish. Second, sales management may expect SFA and CRM to allow better control of remote and mobile salespeople. Experience shows that when the balance shifts to management control and data collection from increasing sales-rep productivity, the sales force will resist. Third, resistance is likely when top management is not committed to automation by adapting technology themselves. Unfortunately, it is still almost a badge of honor among top corporate officers to not know how to use their own personal computer.

Because the opportunities for integrating technology into the selling function are so widespread and important and because management plays such a vital role in the successful implementation of SFA and CRM, we consider technology competence a sales management competency. In addition to the box inserts and end-of-chapter questions focusing on technology, problems have been included in the appropriate chapters accompanied by Excel spreadsheets. The companies we have talked with and the sales managers who have been chapter consultants for this text have indicated that they expect their new hires to have a

## TECHNOLOGY COMPETENCY “Dimensions”

### Understanding of New Technology

- Awareness of the potential for technology to increase sales force efficiency and effectiveness
- Experience in using new technology
- Attitude toward adopting new technology

### Implementing Sales Force Automation

- Knows what is to be accomplished and the possible benefits
- Adapts personal management style and procedures
- Fosters sales force acceptance and use of selling technology

### Implementing Customer Relationship Management

- Develops clear project objectives that are business focused and realistic
- Understands the processes that will be affected by CRM and the data needed for these processes to be improved
- Understands and sells the benefits of the system and how it can be used

basic proficiency in the use of spreadsheets, which is why we have included the problems along with Excel files for your analysis. For more on technology competency, see the Technology Competency box, “Dimensions.”

## CAREER PATHS

Sales is a great way to start a career. We believe it is important for students to understand how someone moves into the position of sales manager and what the opportunities are for further advancement. Sales managers almost always begin their *career paths* as salespeople. The median age of newly appointed first-line field sales managers is about 35 with about 6 to 7 years of prior sales experience with the company. Many selling and sales management experts will testify that there is a significant positive correlation between salespeople’s success and the quality of their sales manager.<sup>27</sup> Because of their enthusiasm and fresh ideas, new sales managers are often able to boost the sales of the salespeople they supervise. The bottom line is that you can make a difference with a career in sales management. That the average total compensation for sales managers is \$144,653 also testifies to the importance of this position.<sup>28</sup> Following is one person’s story.

### The Path to CEO

Lisa Cash started in sales with Club Corporation of America in the early 1980s. She worked her way up to regional sales and marketing manager by 1991. In 1992, she joined Bell Atlantic, now Verizon, where she managed two separate \$100 million divisions. Intrigued by the fast-growing high-tech sector, Cash took a position with a software company. She was hired as East Coast sales manager of Princeton Softech in 1997. After a short time, she started taking on additional projects that utilized her experience. One of these projects was

implementing a telemarketing channel (outbound sales calls) for the company, which eventually led to an appointment as vice president of sales in 1999. When the company's CEO decided to leave, it was Cash he recommended to replace him. According to Cash, "I think we are seeing more CEOs from sales and marketing because they have highly developed communication and persuasion skills. And they have a high level of awareness about the importance of the customer."<sup>29</sup>

## Procter & Gamble

Sales careers with consumer product firms begin in the field, where trainees gain valuable experience that becomes the springboard for promotions. At P&G, the role of sales is to deliver brand volume and market share at a competitive cost. The sales force is a part of the Market Development Organization, which is organized as shown in Figure 1-6. As you can see in the figure, there are only four levels of management below the executive management level. An account manager, either as a part of an account team or a geographic unit, is responsible for influencing decisions affecting P&G brands at individual retail outlets. An account manager is expected to develop and execute merchandising and promotional programs that grow the profits and sales for the customer and the brand. The account executive level influences P&G brand decisions at the customer headquarter level, while also coordinating local store activities of the account managers. An associate director is responsible for

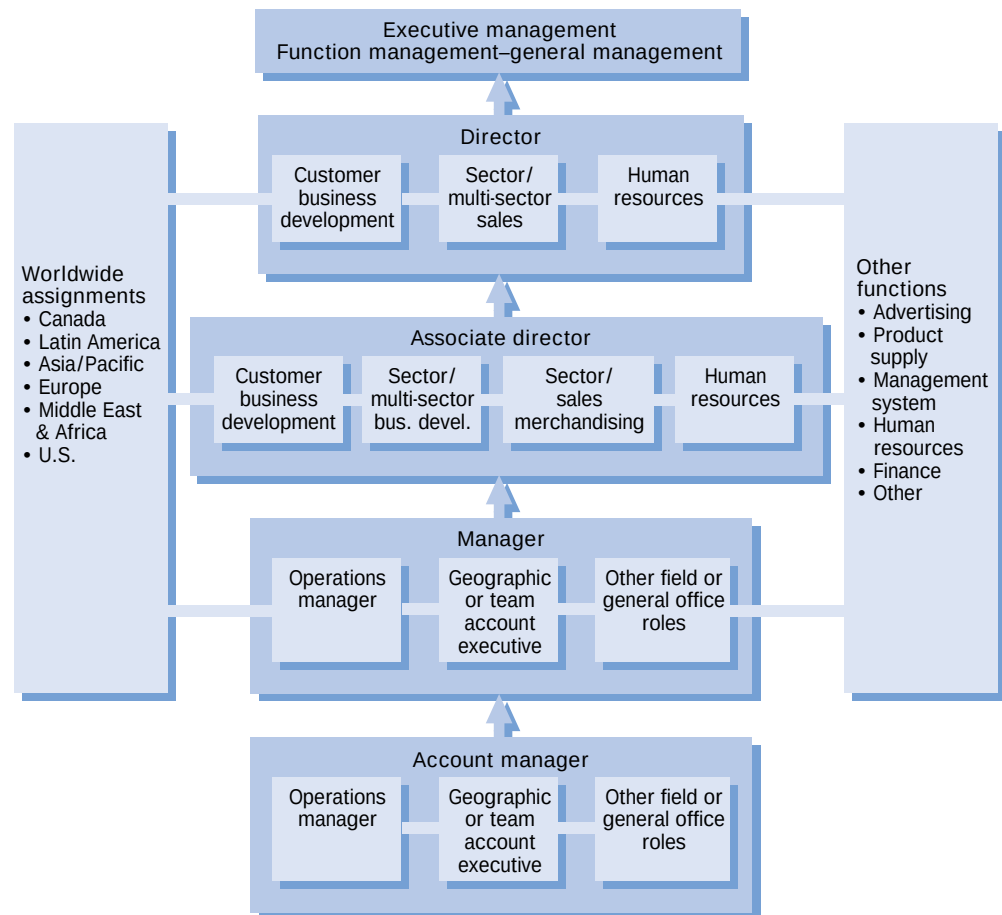


FIGURE 1-6 Career Paths at Procter & Gamble



all the brand, customer, and functional strategies in a particular business sector, such as major food distributors, national chains, wholesale clubs, and discounters in a particular region of the country. A director leads the sales organization of multiple sectors and influences brand merchandising strategy and customer strategy. A director would be involved in decisions such as the overall structure of the sales force, the development of sales force competencies, and performance emphasis.

Opportunities for personal growth and development may be found within each of the four organizational levels at P&G. So, a new recruit might start as an account manager in the Midwestern Kroger customer team. After several years, he might be promoted to head up the Southeastern Safeway customer team as an account executive. This promotion might be followed by an assignment in Europe or in human resources as a trainer. A key advantage of a career at P&G is the wide variety of positions available that provide experience needed to climb the ladder of success.

## PREPARING FOR SALES MANAGEMENT SUCCESS

*Sales Management* was written to prepare you for a successful sales management career. To accomplish this objective, its chapters provide comprehensive coverage in a manner that is both interesting and engaging. In addition, each chapter has been reviewed and enhanced by the experiences and suggestions of highly successful people in sales and marketing, including, among others, Paulette Turner, Sales Operations Business Unit Executive, IBM Corporation; B. J. Polk, Director-Sales-Marketing, Procter & Gamble Distributing Company; and Joseph Clayton, Chairman of the Board, Sirius Satellite. They have passed along the lessons they have learned to help you be a success.

Success in business is directly related to the competencies that you develop. The remaining chapters build on the competencies introduced in this chapter. These six competencies have been identified as important for success in management. To illustrate the relevance of each competency to sales management in particular, four of the competencies as exercised by real companies or individuals are described in boxed inserts in the body of each chapter of this book. At the conclusion of each chapter, exercises for developing each of the six key competencies are presented. Each exercise relates to the chapter's topic and is designed to help you build your competencies so that you are prepared to assume sales management responsibilities when the opportunity is presented.

To further help in your development, each chapter includes several Team Exercises describing typical situations in the day-to-day life of a sales manager. Each situation calls for you to decide the most appropriate action to be taken and often includes the opportunity to think about the words and phrases you would use when talking with the other people in the exercise. Because more than one person is usually involved, this exercise lends itself well to a team or group discussion and role playing of conversations between individuals.

Each chapter begins with a company or individual vignette introducing many of the concepts and issues discussed in the chapter in a live situation. On the first page of each chapter is a list of Learning Objectives for that chapter. A Summary at the end of each chapter revisits each learning objective, along with a brief description of the topic. Key terms are presented in italics and are listed at the end of each chapter. Comprehensive cases are presented at the end of the book.

Following this chapter is the D & M Insurance Company case describing Doug Bloom's first days after being promoted to sales manager in a financial services company. This first case describes the company, its products, and organization, as well as the "growing pains" Doug goes through in those first months as a sales manager. You are given the opportunity to grow with Doug as he faces challenges described at the end of each chapter. Again, you are asked to make decisions based on the background information presented in the chapter.

By the end of the book, you will have matured along with Doug and will have gone through the full cycle of issues common to the sales manager position. In short, by reviewing the material in the chapters and addressing the challenges presented within and at the end of each chapter, you will be much further along the path to success in sales management.

## SUMMARY

This chapter has introduced the topics of personal selling and sales management. Where personal selling focuses on direct contacts with prospects, sales management is concerned with the planning, organizing, leading, and controlling of personal contact programs to satisfy customers and achieve the objectives of the firm. You should now be able to do the following:

- 1. Describe the major changes taking place in selling and the forces causing these changes.** The competitive marketplace is becoming more globalized, product life cycles are getting shorter, and competitive boundaries are blurring. At the same time, customers are buying from fewer suppliers, their service and performance expectations are increasing, and their power is increasing so that they can not only demand but also obtain higher service and offerings from suppliers. As a result of these forces, the selling process is becoming more focused on relationship selling, selling teams are often necessary to fully address customer needs, people are spending more of their time on internal selling and marshaling resources to develop customer solutions, and sales force success is increasingly measured in terms of productivity and profits as opposed to top-line revenues.
- 2. Define sales management.** Sales management is defined as the planning, organizing, leading, and controlling of personal contact programs designed to achieve the sales and profit objectives of the firm.
- 3. Describe the sales management process.** For pedagogical purposes and by way of organizing the variety of activities involved in sales management, the sales management process is grouped as follows: seeing the big picture and developing strategic sales plans, defining the role of the sales force in executing a firm's business plan, structuring the sales force for efficiency and effectiveness, building the sales competencies necessary to implement the firm's business strategy, and leading the sales force to achieve success. Although these steps are not usually performed in sequence, this organization of sales management activities provides a good overview of the decisions in which sales managers at all levels in the organization are involved.
- 4. Discuss the competencies required to be a successful sales manager.** To be an effective sales manager in a dynamic environment requires six competencies: strategic action, coaching, team building, self-management, a global perspective, and a technology competency. You can develop these competencies through study, training, and experience. By doing so, you can prepare yourself for a variety of sales and sales management positions in various industries and countries. You can continue practicing your managerial competencies by completing the exercises at the end of this and subsequent chapters.

## KEY TERMS

Advertising  
Career paths  
Globalization  
Personal selling  
Public relations

Relationship selling model  
Sales force automation (SFA)  
Sales management  
Sales management competencies  
Sales manager

Sales promotion  
Sales representative  
Sales teams  
Transactional selling model

## DEVELOPING YOUR COMPETENCIES

1. **Technology Competency.** When JVC Company of America, an audio and visual equipment manufacturer, decided to explore sales force automation (SFA) with its 200-plus reps, mostly working from their homes, it asked them two questions: “What would you like to have on your desk at home?” and “What questions do you get asked?” JVC reps wanted to be able to provide answers to their customers’ queries about purchase orders and inventory. JVC implemented a software program that lets reps download that information from a mainframe every day, providing them with instant information and saving them considerable time in having to call headquarters and customers the next day. What did JVC do right in this SFA effort, and what other things could they have done to ensure a successful SFA implementation? For more on JVC Company, visit the company’s home page at [www.JVC.com](http://www.JVC.com).
2. **Team-Building Competency.** GoldMine Software Corporation is a leading developer of software solutions for sales and marketing teams. Firms like GoldMine that sell complex analytical software are relying more on sales teams to work with customers, partly because a single salesperson can never know everything about the product. Nonetheless, companies have found it difficult to transition to a sales team-selling effort from a more traditional model. What are some of the problems that GoldMine is likely to encounter with a team sales operation? For more information on GoldMine Software Corporation, visit the company’s home page at [www.goldminesw.com](http://www.goldminesw.com).
3. **Coaching Competency.** Which sales force situation do sales executives prefer?

- Average salespeople and an excellent manager
- or
- Excellent salespeople and an average manager

Consultants have asked hundreds of sales vice presidents, national sales managers, and regional sales managers this question. Which one would you prefer if you were the top sales executive of your company?

4. **Strategic Action Competency.** Carter Diamond Tool has been a leader in manufacturing and has been designing high-quality synthetic and natural diamond cutting tools and dressers since 1920. Until recently, they employed 10 salespeople to call on accounts. Dissatisfied with the results, Carter Diamond discharged all 10 in favor of 8 independent manufacturer’s representatives. (Manufacturer’s reps are not employed by the company; they sell for a number of companies.) The reps in this case sold other industrial products along with the Precision line to the same customers. Immediately, sales began to increase, old business was retrieved, and new accounts were acquired. What possible reasons might explain this? What are the advantages and disadvantages of manufacturer’s reps compared to an in-house sales force? For more on Carter Diamond Tool, visit its home page at [www.carterdiamond.com](http://www.carterdiamond.com).
5. **Self-management.** A good way to learn about sales management is to spend a day with an actual sales manager. Contact a sales manager and arrange to observe his or her activities during a typical day. Ask him or her what it was like becoming a sales manager. Why did this person want to be a manager? What did they think it would be like? What was it like during the first 6 months? How did they come to their present perspective? If possible, keep a log of how the sales manager’s time is spent. If you have difficulty finding a cooperative sales manager, contact the local chapter of the Sales and Marketing Executives Club or the American Marketing Association, or ask your instructor for help. A good way to get started is to visit the American Marketing Association home page at [www.marketingpower.com](http://www.marketingpower.com).
6. **Global Awareness.** All multinational companies face pressures from customers for globalization and global integration, but the amount of pressure varies by industry. For exam-

ple, many computer suppliers, such as Hewlett-Packard and IBM, have created some of the most extensive and successful global account management programs. At Hewlett-Packard and IBM, the global account managers have significant line authority relative to national accounts managers. That is, they get involved in the evaluation, compensation, and management of local sales efforts. In contrast, Citibank's long-running "parent account" global management program gives only coordinating responsibility to the parent account managers. That is, they provide information to the local country Citibank employees and gather information from these same people. They are not responsible for hiring, managing, or evaluating local Citibank employees. Why is there this difference between Hewlett-Packard, IBM, and Citibank? The three companies have mostly the same global customers, but the global account managers are given very different responsibilities.

## FEATURED CASE

### D & M INSURANCE

I was having another good year in sales. I've been one of the top four reps at D & M Insurance, averaging \$150,000 per year for the past 4 years, and it looked like I would do it again this year. I've always taken pride in getting great results while doing things my way and not necessarily by the book. I really liked the competition and the excitement of sales, but lately I'd been thinking about moving to the next level. After all, many of my college buddies were making it in management. If they could do it, why couldn't I? Plus, I liked the thought of Doug Bloom—Manager emblazoned on my door. As far as I could tell, a good sales manager would only work a little harder at the same things I'm doing now, but with more power, control and autonomy. Just work with the worst reps awhile, show them how it should be done and bring them up to speed, and everyone would be happy. The more I thought about it, the more I wanted it.

#### OPPORTUNITY KNOCKS

I was prepared to leave D & M within 6 months if I received a management offer from another insurance brokerage firm. I didn't want to leave; D & M had been very good to me. As luck would have it, the very next week a branch sales manager opening was posted in the company newsletter for the Midwest region. I wasn't excited about leaving Atlanta to go to Des Moines, Iowa, but the timing was perfect. Lady luck was shining on me again. I was finally going to get in the management game and I was ready for the move.

I had a good shot at landing the job, since D & M had an unwritten policy to try and hire from within and I was probably the top producer applying for the job. I did some checking into the position and according to the company statement, the previous manager left because "a change was needed to take the branch office into a new direction." But I heard through the grapevine that the manager was fired because sales were off the previous years. That might have explained the minimal competition from other eager sales reps who were ready to spread their management wings. Maybe they knew something I didn't. It was too late though; mentally I already had my bags packed.

#### HISTORY OF D & M INSURANCE COMPANY

In 1919, entrepreneur Howard Driver Sr., of Brooklyn, who just returned from World War I, joined with Tom Mader to found the D & M Insurance Company. Howard's vision of an insurance company was closely tied to the emerging popularity of the automobile industry and auto dealerships.

In subsequent years, the company grew into an insurance group, adding subsidiaries through strategic acquisitions that enhanced its geographic reach, strengthened its selling and marketing capabilities, and broadened its product offerings. The most recent acquisition was the 1998 purchase of substantially all of the Commercial Lines Division of Great American Insurance Company.

D & M specialized in servicing the insurance needs of all sizes of commercial enterprises by offering

**EXHIBIT 1 Sampling of Business Products**

|                                                                                                                                   |                                                                                                                     |                                                                                                                            |
|-----------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------|
| Accounts Receivable<br>Protects against inability to collect outstanding balances as a result of lost or damaged account records. | Brands and Labels<br>Pays the cost of removing the brands and labels from damaged stock so that it can be salvaged. | Business Property<br>Pays for property (e.g., inventory, office furniture, etc.) if damaged by fire or other covered loss. |
| Business Income<br>Reimburses earnings when a shut-down is caused by a covered cause.                                             | Sales Rep Protection<br>Protects business items, samples, and laptop computers when traveling.                      | Computer Fraud<br>Protects against “electronic” theft of property through a computer.                                      |
| Contract Penalties<br>Pays penalties when contract promises are not met due to covered cause.                                     | Denial of Service Attack<br>Protects against computer attacks that prevent normal business operation.               | Dependent Properties<br>Insures against loss of income when a major supplier suffers a covered loss.                       |
| Electronic Vandalism<br>Protects against hackers sabotaging the company’s computer system.                                        | Employee Dishonesty<br>Covers loss of money or property due to employee dishonesty or fraud.                        | Equipment Breakdown<br>Repairs or replaces damaged equipment (e.g., computer, phones, etc.)                                |
| Forgery<br>Protects against forged or altered checks, credit card receipts, or bank drafts.                                       | Good Faith Advertising<br>Covers advertising needed to restore reputation after a covered attack.                   | Money and Securities<br>Covers lost, stolen, or destroyed money and securities.                                            |
| Newly Acquired Property<br>Covers newly acquired buildings, even when under construction.                                         | Replacement Cost<br>Covers property without deduction for depreciation.                                             | Web Site Income<br>Protects against loss of income due to web provider disruption.                                         |

customized insurance and risk management programs. D & M has products in a variety of areas, including property, auto, general liability, and workman’s compensation. Exhibit 1 describes a sample of the programs D & M offers to businesses.

Headquartered in New York City, the company was organized into four regional areas with a regional vice president heading each region. Spread throughout the regions are 84 sales offices headed by a branch sales manager responsible for supervising office operations and from 8 to 12 salespeople. The company also sold through independent brokers in the less populated states of Montana, Idaho, Wyoming, Utah, and Colorado. Two broker sales managers were responsible for supervising and managing these independent brokers.

**SALES MANAGER TRAINING**

After signing my new contract on February 1, the company flew me and six other manager wannabes to D & M’s headquarters in New York City for 5 days of management orientation. The training schedule was chaotic, to say the least. I think they relished the idea that more information was better. The manuals alone reached close to 3 feet high when I stacked them up in

my hotel room. I could have read the materials nonstop all week and still only be half finished. They gave us manuals on strategic analysis, competitor analysis, external environment analysis, product positioning, pricing, promotion, personnel problems, coaching, feedback, performance evaluation techniques, and hiring and firing tips. Other than the consultants who wrote these books, I doubt anyone in the company has read them cover-to-cover. It didn’t matter; they would look impressive on my office shelf.

The majority of the new manager training amounted to D & M’s rollout and promotion of the new First-Plus account program. Basically, it was a renewed effort by D & M to increase revenues by encouraging sales reps to focus on larger accounts. All-Safe, our major competitor in the full service market, had already implemented their version of First-Plus and now D & M was repositioning itself as well. The VP of Marketing expected us to redirect our staff’s selling efforts on this new product line as soon as we started our jobs. I thought to myself, how in the world am I going to get all 25 salespeople interested in selling this new program? I remember that I felt intimidated by the larger, more sophisticated accounts back when I first started. In those days the smaller accounts

were my bread and butter. I knew this was going to be a big change for some people.

On the last day George Treadgold, D & M's CEO, showed up to make a few remarks and shake our hands to wish us luck. As he was shaking my hand he smiled and offered his life-in-the-trenches line, "bring in the numbers every month and everything else takes care of itself." He also mentioned using the company policy manual to avoid any personnel problems. I thought to myself what an odd combination of send-off messages. The VP of Human Resources, Ray Cody, gave me his card, slapped me on the back, and told me to call anytime if I had any problems. I had met him during my interview process 5 years ago; he said the same thing then. He didn't remember me.

### MOVING TO DES MOINES

When I returned to Atlanta, I spent the next few days finalizing the details of my move to Des Moines. It was a hectic time. I had to bring the Atlanta office up to speed with my accounts, break my lease on my apartment, notify everyone of my new address, close bank accounts, shut off utilities, and find a new apartment in Des Moines. At first, moving sounded like a good idea, but after all the small hassles, you understand why people stay where they are. Plus, I was really going to miss Atlanta, I had some good friends there.

When I arrived in Des Moines near the end of February, I felt like I had moved to the North Pole. It was 10 degrees below zero. My first stop was to the nearest mall to buy the warmest coat I could find, then to the office to scope it out. D & M's branch office was on the 27th floor of a new high-rise office tower that overlooked the Des Moines River. I had a corner office with a huge picture window overlooking the city. I thought, this is it. The big time. My hoop dream was becoming reality and I couldn't wait to get started. As I was unpacking and organizing my office, Liz Shute, my district director, walked in. We exchanged chitchat for a few minutes and then she invited me to lunch to get acquainted.

During lunch I tried to impress her with my understanding of sales management. I made sure that she understood that I was going to be an action-oriented manager and that the majority of my job is sales and sales leadership. The next biggest part of the job is fire fighting and solving salespeople's problems. Maybe 5 percent is human relations and counseling and another 5 percent is other administration duties such as recruiting. She smiled and nodded. I didn't understand why

she wasn't getting as excited as I was. I got the sense she had heard this all before from previous managers. As I was finishing the last bite of my chocolate torte, she summed everything up by stating, "Doug, I like everything that I'm hearing; just remember, though, you are accountable for the production of this office. I'll give you whatever support you need. You just get the reps to come up with the numbers and everything else should take care itself." I thought, first the CEO, now the district manager; is that the company slogan, or what?

### MY FIRST SALES MEETING

After lunch, I spent the rest of the afternoon organizing a presentation to the sales staff about the new First-Plus account program. I built in some humor, stories from my background, and a model on how to operationalize the new strategy. I was thinking, what's not to like? This was going to be the perfect introduction—a new manager and a new direction. Liz was planning to introduce me, then I would take over and not look back. I was starting to get the feeling that management just might be my calling.

Liz gave me a great introduction. As I walked up to the podium, I could feel all eyes in the room were sizing me up. I wondered if everyone could see how nervous I felt. I launched into the new strategy and provided color graphs, charts, and percentages on how the new program works and how sales reps, if they followed just the minimum of my performance model, would be compensated. Some people were actually taking notes, some were staring blankly. I thought, good time to get them involved. "Any questions?" I asked. Big mistake. Tiffany Williams, the top performer for the past 8 years, raised her hand and said, "Doug, I make more than 10 times the income level you just described and I have a lot of smaller to medium-sized accounts that have taken me years to cultivate. They throw off a ton more commissions to me than my larger accounts. Why would I want to follow that model?" The room was silent. I cleared my throat. "This isn't my idea, the directive came from corporate." Tiffany responded, "I can't see why corporate would want us to completely abandon the smaller accounts." I pointed out that D & M doesn't want us to neglect the smaller accounts, but the company was moving in a new direction. Someone in the back snickered. More questions followed, some of which only Liz could answer. Overall, not what I had planned. I knew I had to do something to stop the flood of questions. I recommended that people hold their remaining



questions for the individual meetings planned for Thursday and Friday so we could finish on time. One-by-one the hands went down.

### MEETING THE REPS

The rest of the week I spent preparing for the meetings. I pored over each rep's account history and revenue numbers for the past year to find ways to sell them on the new program. I knew that if I could find ways to get most to buy into the plan, then everyone else would eventually get on board. I scheduled the lower performers for my first meetings on Thursday morning. I figured they would help me warm up and gain confidence for the bigger hitters to follow. I was pretty sure I could get the lower performers to refocus their efforts on my model, but the higher performers might take more persuasion. Based on what I've seen, however, everyone would benefit by implementing aspects of the First-Plus program into their sales strategy. I just had to show them how.

Around 8:00 A.M. Thursday morning I was thinking how excited and nervous I was to be having my first official one-on-one meeting as a sales manager. Bill Johnson, my lowest performer, was first. I had plans for this guy and I couldn't wait to see him begin implementing this new strategy. But before I could talk about my ideas, Bill starts telling me how the First-Plus program won't work. He said he was on the verge of a breakthrough and that changing course now would destroy all of his hard work. I couldn't believe what I was hearing. If the worst performer was telling me this, I could be in for a long 2 days. After he finished, I gave him my pitch for the future and how he could become a player by changing strategy with his larger accounts. He said he would give it a shot and left. As he was walking out, I thought, he wasn't going to change a thing. I made a note to myself that I was going to have to spend more time with him to show him how the program would work.

Much to my surprise, most of the remaining meetings went smoother. A few were excited about the change, some just wanted to know how I pulled off the promotion, others wanted specifics about my expectations. One thing struck me though: I was not at all prepared for the individuality of my reps. No two were alike. Each one had different motivations and talents, and I spent most of each meeting figuring out each rep's hot buttons. I felt like I was dealing with 25 customers. When the final sales rep left on Friday afternoon, I was worn out. Some meetings went better than others, but all-in-all, not too bad.

### TRYING TO KEEP UP

The first few weeks flew by, and I was putting in a lot of overtime. I routinely stayed after 5:00 P.M. Monday through Friday and worked most of the day on Saturday. I always felt it was the manager's duty to set the example and, as a sales rep, I lost respect for managers who would leave at 5:00 P.M. while others were still working. Plus, the workload was much more than I expected, so it wasn't merely an act. In-between the 25 reps constantly vying for my time, I had to deal with system crashes, approve salesperson expense reports, review budgets, and prepare a 3-year strategic plan due to the home office at the end of the next month. I could have worked 24 hours a day and still not be caught up. I felt like I was speeding along a curvy highway at the top of a mountain at night with no signs such as slow, curve, narrow bridge, and stop. If I drove off a cliff, the entire branch office would follow me right over too.

The results for my first month were not good—revenues slipped 15 percent. I felt like my wheels were slipping off the road. Based on the numbers, though, the sales force was not implementing the new program. I knew the reps would not like the First-Plus program to be forced down their throats, but I didn't want a repeat performance next month, so I had to take action. It was time I showed them who was running the office. I fired off a memo to all sales personnel requiring them to complete a weekly sales planning report, including their First-Plus activities for the week. Although I didn't need additional work, I was sure they would read between the lines and start focusing on the First-Plus program. The next morning Tiffany Williams called me from her car phone. "Doug," she said, "I got your memo yesterday." "Good, looking forward to seeing your plan," I said. She said, "Look, Doug, I can't control when my clients want to meet with me and I'm just a little bit too busy to be filling out reports about how I'm going to spend my time." Based on the sarcasm in her tone, I could tell she wasn't happy about the memo. I explained that some reps (including Tiffany) reached their overall quota, but everyone was behind on their First-Plus targets last month and that people need to take some steps to work toward those goals. She responded by informing me that she single-handedly produced 20 percent of the office's revenue last year, so she was exempting herself. I said, "I don't think so, Tiffany, have it on my desk first thing in the morning." As I hung up, I stared at the phone thinking, why did I say that? I shouldn't have demanded she fill it out, but too late.

### HELPING REPS RESCHEDULE THEIR TIME

The following Monday everyone, except Tiffany, turned in their weekly reports. I worked through lunch making comments and reprioritizing the reps' week. I couldn't believe the inefficiencies in their schedules. Some were spending too much time with smaller accounts. Others had large chunks of time devoted to "administrative." No wonder we didn't make quota last month. It felt like this was my first real management breakthrough. Later that afternoon Bill Johnson appeared in my office, obviously upset. I had completely reorganized his schedule. He said, "Doug, what are you trying to do?" I told him I was just trying to help. His voice rose. "Maybe I'm not the best rep in the office, but I'm not incompetent. I'm close to getting things turned around." I told him I wasn't suggesting that, I was just showing him how to implement the First-Plus account management principles. He clenched his jaw and said, "Let me know when you want to take over my accounts too." He threw the reorganized schedule on my desk and stormed out of the room. I sat in my chair in disbelief for a few seconds; I could feel myself tightening up. I dashed after him and motioned him back into my office. I lost it. I started hollering, "You're lucky I'm even helping at all." He looked completely surprised. I continued: "Corporate wants you fired. But I've been covering your ass." The rest was a blur. It felt like I was on the outside looking in while this lunatic occupied my body. It wasn't me.

I figured a salesperson has to always be as cool as a cucumber while dealing with problem clients, but it's nothing compared to management. One of the fundamental lessons in management training was that the manager, more than anybody else in the branch, stands for professionalism. Finding and maintaining composure under every situation are all you've got. But, it was too late and I couldn't have a "do over." I wished the entire Human Resources Department was working down the hall.

### BILL JOHNSON RESIGNS

The next Monday I got a call from Liz to let me know that she'd had complaints from corporate. I wasn't getting my expense forms in on time. I told her I've been swamped. Not only was I busy working with the reps so we could make our quarterly quota, but that I was also trying to be meticulous before I sent them over to corporate. She shot back, "Your job is to make quota and have the reports in on time." As soon as I hung up the receiver, my secretary brought in Johnson's letter

of resignation. What a relief. It was just a matter of time before I had to let him go. I immediately called the top rep at AllSafe, our biggest competitor, and tried to lure him away with the promise of his own corner office and an excellent compensation package. I had met him at a conference a few years ago, and I knew I could work with him. He accepted immediately. I think he liked the idea that if he continued to perform as he did at Allsafe, he would be the highest paid rep in our office. The very next day, Tuesday, rumors were flying around the office that I hired my buddy and threw lots of guaranteed cash at him. Needless to say, most of the reps were not happy about it—Williams in particular, though she didn't say anything.

The rest of the quarter was a constant struggle to get something completed. Someone always needed a "minute" to resolve a crisis—which usually meant sorting out head-on collisions reps had with clients. But there were malfunctioning computers, squabbles over accounts and commissions, and basic jealousies I had to constantly deal with. I thought that a sales manager had the primary responsibility for taking care of the customer, but I wasn't prepared for the sheer volume of fires to be put out every day. I could count on about 15 totally different conversations within any 2-hour time span. The only place where I could get some peace was the men's room. Not only was I falling even farther behind on paperwork, but I needed to update the reps on some new policies and come up with a new sales idea for our Friday afternoon sales meeting. At time I felt like a babysitter who was also running his own \$30 million business.

The day after my first quarterly numbers came in, Liz called me. "Bloom," she said, "you're under quota. What are your plans for turning it around next quarter?" A fair question, I thought, but I didn't like the tone of her voice. I told her I'd looked over the numbers and a few of the reps are close to landing some big accounts. If I have to, I'll close those accounts myself. I also said that my reps don't like having the First-Plus program pushed on them. She said, "Look, Bloom, this is our new direction. It's your job to sell it to the reps and get the branch back on track with First-Plus account volume. If you need anything from my end, just call." "Will do," I said.

### CLOSING THE TOP 10 FIRST-PLUS ACCOUNTS

My first plan of action was to identify the top 10 unclosed First-Plus accounts with the most revenue potential. I couldn't afford to lose those accounts. As a sales rep, I was the big account guru, so why not handle



those accounts personally? Plus, the customer would love it if the sales manager was their primary contact person. If I was going to get fired, it wasn't because my office couldn't sell the large accounts. I knew some reps weren't going to be happy, but at this point I didn't care whose toes I stepped on. They would just have to understand. The following Monday morning I circulated a memo explaining the new policy for the 10 accounts. Later that same morning, just as I had started working on some salesperson expense reports that were already a month overdue, Williams and another rep named Bill Barone walked into my office. They had the memo in their hands and were obviously upset about it since two of the biggest accounts came from them. Williams started out, "Doug, what's going on here?" I said, "For 2 months now I have been trying to get people to close more First-Plus accounts, but it's not happening. Corporate wants me to take responsibility, so I am." Bill responded, "Everybody in the office is pissed about the lost commissions on the account." I said, "As of right now, nobody is getting any commissions on those accounts because no one seems able to close them. Once they're on board, everyone will get them back." I thought, didn't they even bother to read the

memo? Williams said as she was walking out the door, "Doug, this isn't a threat, but I can guarantee you that if you keep pulling this stuff, you'll find yourself taking over more accounts than you can handle." This is getting ridiculous; as a rep I would have accepted it and moved on. These ungrateful reps were resenting the fact that they were going to get a big account handed to them on a silver platter after someone else closed it.

### DOUG BLOOM PLANS FOR THE FUTURE

I was glad when the month ended. Not because I made quota for the first time, but because I had a chance to rethink this whole management thing. I didn't want to quit, but I'd rather quit than get fired and I saw nothing but a downward trend. I was working 80-hour weeks, but I constantly felt like I was treading water. Plus, Williams was probably going to leave soon, and it would take time to replace her volume. I also got word that some of my other reps had been looking around. If I stay, I've got to do something about Williams and the other reps who might leave. I had to get a handle on my time and most of all, put the fun back into my job. Was it possible?